ENTREPRENEURSHIP DEVELOPMENT

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Contents

Chapter 1

Entrepreneurship

1.1 Introduction to Entrepreneurship

The word ”entrepreneur” is derived from the French word ”entrependre” which means ”to undertake”. An **entrepreneur** is someone who undertakes a venture, organizes it, raises capital to finance it, and assumes the risk involved in it.

1.1.1 Definitions of Entrepreneurship

- According to **Schumpeter**: ”Entrepreneurship is a creative activity.”
- According to **A.H. Cole**: ”Entrepreneurship is the purposeful activity of an individual or a group of associated individuals, undertaken to initiate, maintain or organize a profit-oriented business unit for the production or distribution of economic goods and services.”
- According to **Higgins**: ”Entrepreneurship is the function of seeing investment and production opportunity, organizing an enterprise to undertake a new production process, raising capital, hiring labour, arranging for the supply of raw materials and selecting top managers for the day-to-day operation of the enterprise.”
- According to **Peter Drucker**: ”An entrepreneur is one who always searches for change, responds to it and exploits it as an opportunity.”
- According to **Carl Mosger**: ”Entrepreneur is a change agent who transforms resources into useful goods and services thus, creates the circumstances leading to industry growth.”

1.2 Differences between Entrepreneur and Entrepreneurship

Entrepreneur	Entrepreneurship
The entrepreneur is the bearer of the ”mechanism for change”.	Entrepreneurship is defined as the carrying out of new combination called enterprise.
Entrepreneur is someone who specializes in making judgmental decisions about the coordination of scarce resources.	This appears as a personal quality that enables certain individuals to make decisions with far-reaching consequences.

An entrepreneur is one who always searches for change, responds to it and exploits it as an opportunity.	Entrepreneurship is the pursuit of a discontinuous opportunity involving the creation of an organization.
Entrepreneur is a person who creates an enterprise.	Entrepreneurship is the process of creation of enterprise.
Entrepreneur is the actor.	Entrepreneurship is the act.

1.3 Characteristics of an Entrepreneur

1. Optimistic outlook
2. Desire to succeed
3. Risk-taking ability
4. Managerial skills
5. Leadership qualities
6. Commitment fulfillment
7. Urge to learn new things
8. Future and result oriented
9. Visionary
10. Need for independence
11. Cooperative nature with quality control capacity
12. Desire to do something new
13. Innovative mindset
14. Problem-solving ability
15. High level of expectation
16. Self-confidence
17. High energy level
18. Goal setter
19. Moderate risk taker
20. Technical competence

1.4 Characteristics of Entrepreneurship

- **Economic**: Involves creation and operation of an enterprise
- **Creative**: Involves innovative process
- **Purposeful**: Goal-oriented activity seeking to earn profits
- **Risk Bearing**: Risk is inherent and inseparable element
- **Organization**: Involves organization building capabilities

- **Human Relations**: Ability to work with other people
- **Flexibility**: Hallmark of successful entrepreneurship
- **Innovation**: Central function of entrepreneurship
- **Skills**: Requires special skills to handle situations
- **Values**: Attempt to create value recognition of business opportunities
- **Decision-making**: Essential component of entrepreneurial process

1.5 Phases of Entrepreneurship Development

1. **Initial Phase**: Creation of awareness of entrepreneurial opportunities based on survey
2. **Development Phase**: Implementation of training programmes to develop motivation and management skills
3. **Support Phase**: Infrastructural support of counselling and assistance to establish new enterprise and develop existing units

1.6 Theories of Entrepreneurship

1.6.1 Economic Theory

- According to economists, entrepreneurship and economic growth will take place in those situations where particular economic conditions are most favourable.
- G.F. Papansk and J.R. Harris are the main advocates of this theory.
- Economic incentives are the main drive for entrepreneurial activities.
- Lack of vigorous entrepreneurship is due to various kinds of market imperfections and inefficient economic policies.

1.6.2 Sociological Theory

- Entrepreneurship is most likely to emerge under a specific social culture.
- According to Cochran, the entrepreneur represents society's model personality.
- Society's values are the most important determinant of attitudes and role expectations.
- According to Weber, religious beliefs produce intensive exertion in occupational pursuits, systematic ordering of means to end, and accumulation of assets.

1.6.3 Psychological Theory

- Entrepreneurship is most likely to emerge when a society has sufficient supply of individuals possessing particular psychological characteristics.

- Schumpeter believes that entrepreneurs are primarily motivated by an atavistic will to power, will to found a private kingdom or will to conquer.
- According to McClelland, it is the high need for achievement which drives people towards entrepreneurial activities.
- This achievement motive is inculcated through child rearing practices.

1.7 Differences between Entrepreneur and Manager

Particulars	Manager	Entrepreneur
Time Horizon	Results of today, this month, this year. Short-term and medium-term.	Result of tomorrow, next year and coming five years. Long term and very long-term.
People Management	Handles people oriented to day-to-day management of nitty-gritty and details.	Deals with people who can conceptualize with aggregate perspectives - strategists.
Decision Making	Operational and administrative decisions, bearing on short-term and medium-term results.	Mostly strategic decisions, involving growth through expansion, diversification, takeovers and mergers.
Constraints	Usually organizational constraints within an organization.	Usually environmental constraints which lie outside an organization.
Management Principles	Oriented towards internal administration and control.	Oriented towards macro-social aspects like social responsibility, ethical practices, adherence to government policies.
Risk Orientation	Risk averse, prefers security.	Risk taker, comfortable with uncertainty.
Innovation Focus	Maintains and improves existing systems.	Creates new systems and processes.
Motivation	Salary, promotion, job security.	Independence, achievement, wealth creation.

1.8 Role of Entrepreneur in National Development

1. **Balanced Economic Growth**: Responsible for balanced economic growth of various regions by setting up new industries in rural areas.
2. **Resource Utilization**: Utilizes unused products of large industries and supplies them to consumers.
3. **Social Revolution**: Brings social revolution by providing alternate source of income.
4. **Cultural Development**: Creates entrepreneurial culture essential for industrial growth.

5. **Social Progress**: Responsible for social progress of regions.
6. **Competition**: Restricts monopoly of large industrialists by providing similar goods at affordable prices.
7. **Export Promotion**: Responsible for exporting goods and earning foreign exchange.
8. **Wealth Distribution**: Distributes national income in efficient and equitable manner.

1.9 Growth of Small Scale Industries in Developing Countries

Small Scale Industries (SSIs) have shown significant growth in developing countries due to:

- **Low capital requirement**: SSIs require relatively less investment
- **Employment generation**: Provide employment opportunities to semi-skilled and unskilled labor
- **Local resource utilization**: Use locally available raw materials and resources
- **Government support**: Various schemes and subsidies promote SSI growth
- **Market accessibility**: Serve local markets effectively
- **Flexibility**: Quick adaptation to market changes
- **Portability**: Easy to set up and relocate
- **Innovation implementation**: Better to implement new ideas with less risk

1.9.1 Growth Statistics in India

- Number of SSIs increased from 0.86 million (1980) to over 4 million (2012)
- Creates largest employment opportunities among all sectors
- Food product industry ranked first in employment generation
- 45-50% of Indian exports are contributed by SSI sector
- Employment highest in units engaged in beverages, tobacco in various states

1.10 Differences between Small Scale and Large Scale Industries

Small Scale Industry	Large Scale Industry
Employ less number of persons and capital	Employ large number of persons and capital

Use manpower, tools and machines to complete work	Complete work through large machines and automation
Produce less amount of production	Perform mass production
Located in rural and urban areas, mostly private sector	Located in urban areas like textile & cotton industries
Lack of formal structure	Maintain high standard of structure: manuals, job-descriptions, HR policies, management hierarchies
Owners know everything about spending	Have stockholders with professional management
Full of opportunities for employees	Limited growth opportunities for individual employees
Quick decision making	Slower, bureaucratic decision making
Local/regional market reach	National/international market reach
Simple to moderate technology	Advanced and automated technology

1.11 Role of Small Scale Industries in National Economy

1.11.1 Contribution to National Economy

SSIs play a crucial role in the economic development of a nation:

1. **Employment Generation**: SSIs are labor-intensive and create more employment per unit of capital invested
2. **Balanced Regional Development**: Promote industrialization in rural and backward areas
3. **Mobilization of Local Resources**: Utilize local resources, skills, and entrepreneurship
4. **Export Promotion**: Contribute significantly to exports (45-50% of Indian exports)
5. **Complement to Large Industries**: Serve as ancillary units supplying components and parts
6. **Social Stability**: Reduce migration to cities by providing local employment
7. **Innovation and Flexibility**: Quick to adapt to market changes and implement innovations
8. **Distribution of Wealth**: Prevent concentration of economic power in few hands
9. **Utilization of Skills**: Act as medium for efficient utilization of skills available locally
10. **Absorption of Surplus Labor**: Absorb surplus labor not absorbed by capital-intensive industries

1.12 Characteristics of Small Scale Industries

- **One-man Ownership**: Mostly set up by individuals
- **Flexibility**: Flexible in operation, best suited to changing environment
- **Labour Intensive**: Fairly labor intensive, creating employment opportunities
- **Low Startup Cost**: Initial start up cost is usually low
- **Localised Operation**: Established in rural/local areas to meet local demands
- **Portability**: Easy to set up and tear down
- **Use of Indigenous Raw Materials**: Promote intermediate and capital goods
- **Lesser Gestation Period**: Short period between setting up and commencement of production
- **Fast Decision Making**: Quick decision making due to ownership structure
- **Innovative**: More innovative due to flexibility
- **Good Employee Relations**: Maintain harmony among workers

1.13 Types of Small Scale Industries

1.13.1 Based on Function

1. **Manufacturing Industries**: Producing complete articles for direct consumption
   - Engineering industries, powerlooms, khadi industries, food processing industries
2. **Ancillary Industries**: Producing parts and components for large industries
   - Investment in plant and machinery not exceeding Rs. 10 million
3. **Service Industries**: Covering light repair shops for mechanical equipment
   - Machine-based, require less investment
4. **Tiny Enterprises**: Investment limit in plant and machinery is Rs. 2.5 million
5. **Feeder Industries**: Specialising in certain types of products and services
   - Casting, welding, electroplating
6. **Technology Based SSI**: Taking advantage of technological changes
   - Rapid changes in technology drive these industries
   - Demand automatically created when new products come to market

1.13.2 Based on Resource and Demand

Ancillary industries can be classified into three main types based on their purpose and establishment:

1. **Demand Based SSI**

- **Characteristics:**
  - Started when demand for certain products is high
  - Established to take advantage of market demand
  - Usually short-term but help establish market presence
  - Example: Seasonal product manufacturers

2. **Resource Based SSI**

- **Characteristics:**
  - Started because of available resources
  - Use human resources, forest resources, agricultural resources
  - Resources are cheap and easily available
  - Example: Agro-based industries, mineral-based industries

3. **Sub-control Type SSI**

- **Characteristics:**
  - Set up by large scale manufacturers
  - Sell products under their brand name
  - Take benefits and concessions from government due to SSI status
  - Usually owned, financed, controlled and managed by parent company

1.14 Strengths and Weaknesses of SSIs

1.14.1 Strengths of Small Scale Industries

1. Contribute significantly in decentralization
2. Job oriented - generate employment
3. Capital and investment oriented
4. Capable of easy adjustment in changing situations
5. Maintain harmony among workers
6. More innovative
7. Products are labour intensive
8. Offer large variety of products
9. Best use of available resources
10. Provide services to large scale industries

1.14.2 Weaknesses of Small Scale Industries

1. Sometimes exist for very short period
2. Entrepreneurs may be uneducated or unaware of market conditions
3. High failure rate with no reliable data available

4. Less name recognition compared to large businesses
5. Budget constraints affecting R&D and marketing
6. Limited bargaining power with suppliers
7. Cannot compete on price against larger competitors
8. Dependence on personal skills of entrepreneur

1.15 Problems Faced by Small Scale Industries

1. **Problem of Skilled Manpower**: Non-availability of adequate skilled manpower in rural sector
2. **Inadequate Credit Assistance**: Scarcity of capital and weak creditworthiness
3. **Irregular Supply of Raw Material**: Faulty and irregular supply, poor quality, increased costs
4. **Absence of Organized Marketing**: No organized marketing system, poor market information
5. **Lack of Modern Machinery**: Use of outdated technology and equipment
6. **Absence of Adequate Infrastructure**: Lack of power, water, roads, communication
7. **Competition from Large Units**: Difficult to compete with cheaper and better quality products
8. **Government Regulations**: Complex procedures and regulations
9. **Delayed Payments**: Problems with delayed payments affecting cash flow
10. **Technological Obsolescence**: Difficulty in adopting new technologies

1.16 Government Policy for Small Scale Industry

Government policies aim to promote and protect SSIs through:

1.16.1 Major Industrial Policies

1. **Industrial Policy Resolution, 1948**:
   - Focus on balanced growth of different manufacturing sectors
   - Co-existence of large industry with cottage and small industries
   - Establishment of cottage industries board
2. **Industrial Policy Resolution, 1956**:
   - Improve competitive strength of small enterprises
   - Recognize role in providing employment opportunities
   - Mobilize local skills and capital resources
3. **Industrial Policy Statement, 1977**:

- Emphasis: "Whatever can be produced by small and cottage industries must only be so produced"

4. **Industrial Policy Statement, 1980**:
   - Watershed in development of SSI sector
   - Modernization package for small and village industries
   - Approval for 100% export oriented units

1.16.2 Support Measures

- **Financial Assistance**: Subsidized loans, credit guarantee schemes
- **Tax Benefits**: Excise duty exemptions, income tax benefits
- **Infrastructure Support**: Industrial estates, sheds, common facilities
- **Marketing Assistance**: Price preference, purchase preference
- **Technology Upgradation**: Subsidies for technology improvement
- **Legal Framework**: Limited partnership act, factoring services
- **Export Promotion**: Export development cell in SIDO
- **Market Promotion**: Through cooperative institutions and marketing agencies

1.17 Role of National and State Agencies for SSI Support

1.17.1 National Level Agencies

1. **District Industries Centre (DIC)**:
   - Project report preparation
   - Technical support services
   - Single window clearance
2. **Technical Consultancy Organization (TCO)**:
   - Project formulation and implementation
   - Management consultancy
3. **State Financial Corporations (SFC)**:
   - Loans for setting up, renovation, expansion of SSIs
4. **Small Industries Service Institute (SISI)**:
   - Design and layout preparation
   - Employee training and technical guidance
   - Quality standards maintenance
5. **National Small Industries Corporation (NSIC)**:

- Operation training for modern machinery
- Raw material import assistance

6. **Small Industries Development Organisation (SIDO)**:
   - Production and marketing assistance
   - Quality control consultancy
7. **National Bank for Agriculture and Rural Development (NABARD)**:
   - Capital provision for rural SSIs

1.17.2 Need for Institutional Support

1. Finance is "life-blood" for enterprise
2. Minimum infrastructure requirements essential
3. Government assistance through financial institutions
4. Creation of conducive economic environment
5. Compensation for infrastructure deficiencies
6. Provision of various kinds of support and facilities
7. Help in making economic environment more conducive

1.18 Stages in Starting a Small Scale Industry

1. **Study Business Environment**:
   - Preliminary stage focusing on entrepreneur characteristics
   - Determination of resources required
   - Studying business environment and searching opportunities
2. **Implementation and Feasibility of Idea**:
   - Study all possible aspects for implementing business idea
   - Check assessment of feasibility of plan or idea
3. **Decision Making Stage**:
   - Selection of right enterprise (one-time decision)
   - Decide location and sites
   - Determine size, type, and technology of project
   - Decide pricing and marketing policy
4. **Planning Stage**:
   - Apply for land, registration, no objection certificate
   - Arrange financial support from agencies
   - Make detailed plan for machinery and equipment

- Plan career development for employees

5. **Plan Implementation Stage**:
   - Practical execution phase
   - Possession of site to complete setup installation
   - Arrange manpower, machinery, and raw materials
   - Ensure safety of raw materials
6. **Controlling Stage**:
   - Monitor advertisement and marketing strategies
   - Arrange distribution channels
   - Ensure timely supply of products
   - Establish links with sellers and distributors
   - Ensure growth and profit for employees
   - Update with changes in technology and business environment

1.19 Resources Required for SSI Establishment

1.19.1 Physical Resources

- Land or exact site for implementation
- Taxes, cost of land, service tax
- Tools, machines and general requirements
- Transportation, communication and power facilities

1.19.2 Technical Resources

- Link between research organizations and manufacturers
- Quality maintenance without compromise
- Adoption of appropriate technology

1.19.3 Manpower Resources

- Qualified, technical, non-technical or office staff
- Clear promotion policy for healthy environment
- Training and development programs

1.19.4 Financial Support

- Shares, loans and lease finance
- Short-term and long-term funds from financial institutions
- Strong financial support as backbone of successful SSI

1.20 SWOT Analysis for Small Business

1.20.1 Components of SWOT Analysis

- **Strengths**: Activities that organization is doing well
- **Weaknesses**: Things that organization does not do well
- **Opportunities**: Positive and favorable external trends
- **Threats**: Negative and unfavorable external trends

1.20.2 Application in Small Business

- Assess venture's work activities and processes
- Identify critical areas needing improvement
- Pinpoint changes needed to exploit opportunities
- Buffer against external threats
- Guide strategic planning and decision making

1.21 Business Plan Development

1.21.1 Business Planning Process

1. **Preliminary Investigation**: Review available plans, scan environment
2. **Idea Generation**: Brainstorming, market research, value addition
3. **Environmental Scanning**: Analyze strengths, weaknesses, opportunities, threats
4. **Feasibility Analysis**: Market analysis, technical/operational analysis
5. **Project Report Preparation**: Written document describing strategies
6. **Evaluation, Control and Review**: Continuous review and adaptation

1.21.2 Essential Ingredients for Small Business

1. **Market**: Understanding target customers, demographics, purchasing channels
2. **Money**: Lifeblood of business for fixed and current assets
3. **Motivation**: Internal and external factors driving entrepreneurial activity

Chapter 2

Project Identification

2.1 Project Identification

Project Identification is the first phase of project life cycle. It is a recurrent process of documentation, ranking and approving and analysis of economic data for the purpose of seeking possible options for investment.

2.1.1 Process of Project Identification

1. Defining purpose and scope of the project
2. Developing business case describing business problem and alternative solutions
3. Completing feasibility study to ascertain likelihood of alternative solutions
4. Identifying preferred solution
5. Describing terms of reference including project vision, objectives, scope
6. Appointing project team
7. Carrying out phase review before proceeding to next stage

2.2 Assessment of Viability

A project's viability is assessed through:

2.2.1 Technical Viability

- Product specifications, features, uses, benefits
- Proper working of machines, tools and equipment
- Technical feasibility of the product

2.2.2 Financial Viability

- Funds required for complete project
- Financial companies available to help
- Rate of return expectations

2.2.3 Market Viability

- Reaching maximum number of customers

- Ensuring good return and long market presence
- Ensuring future growth
- Concentrating on consumer behavior and characteristics

2.2.4 Social and Environmental Viability

- Impact on society and people's health
- Social fitness of the project
- Environmental hazards assessment

2.3 Formulation and Evaluation

Project Formulation is the systematic development of a project idea by evaluating its various components to take an investment decision.

2.3.1 Objectives of Project Formulation

- Final identification of investment options
- Selection of viable opportunities for comparative study
- Best utilization of minimum possible resources for maximum results
- Alignment with entrepreneur and enterprise objectives

2.3.2 Sequential Stages

1. Feasibility of investment proposal
2. Techno-economic studies
3. Market studies with location of project
4. Inputs required
5. Financial feasibility
6. Profitability analysis
7. Social cost benefit studies

2.4 Financing

Sources of finance for SSIs include:

Source	**Features**
Equity Capital	Owner's contribution, risk capital
Term Loans	From banks/financial institutions, long-term
Working Capital	For day-to-day operations, short-term

Subsidies	Government grants, no repayment
Venture Capital	For high-growth potential projects
Angel Investors	Individual investors for startups

2.5 Field Study and Collection of Information

Field Study involves systematic collection of primary data through:

- Meeting with customers to know their response
- Sample surveys from target group
- Consultation with professional experts or agencies
- Collection of information from buyers, users and associated persons
- Continuous process due to flexible needs and expectations

2.5.1 Sources of Collecting Data

- **Primary Sources**: Telephonic surveys, questionnaires, one-to-one interactions
- **Secondary Sources**: Magazines, government records, research agencies
- **Sample Surveys**: Less time, effort and cost consumption

2.6 Preparation of Project Report

A comprehensive project report includes:

1. **Executive Summary**: Brief overview of the project
2. **Introduction**: Background and promoter details
3. **Market Analysis**: Demand-supply situation, competition
4. **Technical Analysis**: Manufacturing process, technology
5. **Financial Analysis**: Cost, funding, profitability
6. **Management Plan**: Organizational structure
7. **Implementation Schedule**: Timeframe for activities
8. **Risk Analysis**: Potential risks and mitigation
9. **Appendices**: Supporting documents

2.7 Demand Analysis

Methods for demand estimation:

- **Survey Methods**: Consumer surveys, expert opinions
- **Statistical Methods**: Trend analysis, regression

- **Market Testing**: Test marketing, pilot projects
- **Analogy Method**: Comparison with similar products

2.7.1 Objectives of Demand Analysis

- To find if it's advisable to start production
- To determine adequate rate of return on investment
- To identify factors affecting demand (marketing, price, technology)
- To analyze number of competitors in market

2.8 Material Balance and Output Methods

Material Balance: Ensures input materials equal output products plus waste

$$\text{Input Materials} = \text{Output Products} + \text{Waste/Losses}$$

2.8.1 Output Methods

- Block diagram construction representing enterprise
- Three main sources: Inputs, Conversion Process, Outputs
- Cost relationship analysis showing average fixed cost, variable cost, and total cost

2.9 Benefit Cost Analysis

Benefit-Cost Ratio (BCR) is calculated as:

$$BCR = \frac{\text{Present Value of Benefits} - \text{Disbenefits} - \text{Operation Cost}}{\text{Total Cost of Project} - \text{Salvage Value}}$$

A project is viable if BCR > 1.

2.9.1 Main Stages of Cost Benefit Analysis

1. Calculation of social cost and social benefits
2. Discounting future value of benefits
3. Comparing costs and benefits to determine net social rate of return
4. Comparing net rate of return from different projects

2.10 Discounted Cash Flow Methods

2.10.1 Net Present Value (NPV)

$$NPV = \sum_{t=1}^{n} \frac{CF_t}{(1+r)^t} - \textbf{Initial Investment}$$

Where:

- CF_t = Cash flow in period t
- r = Discount rate
- n = Project life

Decision Rule: Accept if NPV > 0

2.10.2 Internal Rate of Return (IRR)

IRR is the discount rate that makes NPV = 0

$$0 = \sum_{t=1}^{n} \frac{CF_t}{(1 + IRR)^t} - \text{Initial Investment}$$

Decision Rule: Accept if IRR > Required Rate of Return

2.11 Payback Period Method

Payback Period measures number of years required for cash inflows after taxes to pay back the original outlay.

$$PB = \frac{\text{Investment}}{\text{Constant Annual Cash Flow}}$$

2.11.1 Advantages

- Easy to understand
- Simple to calculate
- Based on cash flow analysis

2.11.2 Disadvantages

- Ignores cash inflows after payback period
- Does not differentiate between projects in terms of timing
- Does not consider entire life of project

Chapter 3

Accountancy

3.1 Accountancy Fundamentals

Accountancy is the process of identifying, measuring and communicating economic information to permit informed judgments and decisions by users of the information.

3.1.1 Functions of Accounting

1. **Recording**: Basic function, done in "Journal"
2. **Classifying**: Systematic analysis in "Ledger"
3. **Summarising**: Preparation of Trial Balance, Income Statement, Balance Sheet
4. **Dealing with Financial Transactions**: Only financial character transactions
5. **Analysing and Interpreting**: Meaningful judgment about financial conditions
6. **Communicating**: Distribution of accounting reports

3.2 Preparation of Balance Sheets

Balance Sheet presents the financial position of a business at a specific point in time, following the accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

3.2.1 Classification of Assets

- **Fixed Assets**: Required for continued use (land, building, machinery)
- **Current Assets**: Convertible into money within one year (cash, debtors, stock)
- **Tangible Assets**: Can be seen and touched (building, furniture)
- **Intangible Assets**: Cannot be seen or touched (goodwill, patents)
- **Fictitious Assets**: Not really assets (accumulated losses)
- **Liquid Assets**: Quickly convertible into cash (cash, marketable securities)

3.2.2 Classification of Liabilities

- **Fixed Liabilities**: Payable on termination of business (capital)
- **Long-term Liabilities**: Payable after long period
- **Current Liabilities**: Redeemable within next accounting year
- **Contingent Liabilities**: May become actual liabilities

3.2.3 Sample Balance Sheet in Order of Permanence

Balance Sheet as on			
Liabilities	**Amount**	**Assets**	**Amoun**
Fixed Liabilities			
Capital	.....	**Intangible Assets**	
Long-term Liabilities			
Loan from Bank	.....	Goodwill	.....
Debentures	.....	Patents	.....
Current Liabilities			
Bills Payable	.....	Copyright	.....
Sundry Creditors	.....	**Fictitious Assets**	
Bank Overdraft	.....	Advertisement	.....
Outstanding Expenses	.....	Miscellaneous Expenses	.....
Short-term Loan	.....	Profit and Loss A/c	.....
		Fixed Assets	
		Machinery	.....
		Building	.....
		Furniture and Fixtures	.....
		Motorcar	.....
		Liquid Assets	
		Cash in Hand	.....
		Cash in Bank	.....
Total	**.....**	**Total**	**.....**

3.3 Assessment of Economic Viability through Accounts

3.3.1 Evaluation of Project Profitability

- **Benefit Cost Analysis Method**: Ratio of benefits to cost
- **Discounted Cash Flow Method**: Considers time value of money
- **Net Present Value Method**: Recognizes time value with fixed discount rate
- **Internal Rate of Return Method**: Discount rate equating present value with investment

3.4 Decision Making Based on Accounts

3.4.1 Significance of Decision-Making

- No business can survive without effective decision-making
- Essential part of every management function

- Lies deeply embedded in management process
- Spreads over all managerial functions

3.4.2 Steps in Scientific Decision-Making

1. Defining the problem
2. Analyzing the problem
3. Collection of data
4. Developing alternatives
5. Review of key factors
6. Selecting best alternatives
7. Implementing the decision

3.5 Expected Costs Analysis

Types of costs considered:

Cost Type	Description
Fixed Costs	Do not vary with production (rent, salaries)
Variable Costs	Vary directly with production (raw materials)
Semi-variable Costs	Partly fixed, partly variable (electricity)
Direct Costs	Directly attributable to product (direct materials)
Indirect Costs	Not directly attributable (overheads)
Opportunity Cost	Cost of next best alternative foregone
Sunk Cost	Already incurred, irrecoverable

3.6 Planning and Production Control

3.6.1 Production Planning

- Production scheduling and sequencing
- Capacity planning and utilization
- Material requirements planning (MRP)
- Workforce planning and scheduling

3.6.2 Production Control

- Progress monitoring and control
- Quality control at various stages
- Inventory control and management
- Maintenance planning and scheduling

3.7 Quality Control

3.7.1 Objectives of Quality Control

1. Establish economical quality standards acceptable to customers
2. Establish standards for raw materials
3. Evaluate production methods and suggest improvements
4. Determine extent of quality deviations
5. Identify causes of deviation from standards
6. Suggest remedial measures

3.7.2 Methods of Quality Control

- **Inspection**: Remedial or preventive at various stages
- **Statistical Quality Control**: Applies statistical tools to testing
- **Total Quality Management**: Organization-wide quality focus

3.8 Marketing Management

3.8.1 Objectives of Marketing

1. Identifying needs and wants of customers
2. Creating market offering with product specifications
3. Ensuring customer value through benefits
4. Facilitating exchange mechanism between buyers and sellers

3.9 Industrial Relations

3.9.1 Objectives of Industrial Relations

1. Promote healthy labor-management relations
2. Protect interests of both employees and management
3. Raise productivity for economic development
4. Check industrial conflicts and minimize strikes
5. Minimize labor turnover and absenteeism
6. Facilitate industrial democracy through worker participation
7. Establish government control over industries

3.10 Wages and Incentives

3.10.1 Factors Affecting Wages

- Demand and supply of labor
- Employer's ability to pay
- Cost of living adjustments
- Productivity of workers

3.10.2 Systems of Wage Payment

- **Time Wage System**: Payment based on time (hourly, daily, weekly)
- **Piece Wage System**: Payment based on output or productivity

3.10.3 Incentives

- Monetary incentives fulfill basic physiological needs
- Help satisfy social needs (status, respect, power)
- Increase efficiency when based on productivity

3.11 Inventory Control Techniques

3.11.1 Types of Inventory

Type	**Reason for Holding**
Raw Materials	Price advantage on seasonal materials
Work in Progress	Balance production flow
Readymade Components	Components bought rather than made
Scrap	Disposal in bulk
Finished Goods	Stock room waiting for dispatch

3.11.2 Inventory Control Methods

1. **ABC Analysis**: Classification based on value.
2. **Economic Order Quantity (EOQ)**:

$$EOQ = \sqrt{\frac{2DA}{h}}$$

   Where D = Annual demand, A = Ordering cost per order, h = Holding cost per unit per year.
3. **Re-Ordering Level**: The stock level at which a new order is placed.
4. **Inventory Turnover Ratio**:

$$\text{Inventory Turnover} = \frac{\text{Net Sales}}{\text{Average Inventory}}$$

Chapter 4

Project Planning and Control

4.1 Financial Functions in Project Management

4.1.1 Purposes of Financial Functions

1. Identify financial requirements
2. Finalize sources of funds
3. Procure funds and take necessary action
4. Ensure proper utilization of available funds
5. Plan repayment of funds

4.2 Cost of Capital Approach

Cost of Capital is the minimum return required on investment:

4.2.1 Components

- **Cost of Debt**: Interest rate on borrowed funds
- **Cost of Equity**: Return expected by shareholders
- **Cost of Retained Earnings**: Opportunity cost
- **Weighted Average Cost of Capital (WACC)**:

$$WACC = \frac{E}{V} \times R_e + \frac{D}{V} \times R_d \times (1 - T_c)$$

4.3 Economic Evaluation of Projects

Economic evaluation considers:

- National economic benefits
- Social benefits
- Environmental impact
- Regional development

4.4 Risk Analysis in Projects

4.4.1 Sources of Risk

- **Project Specific Risk**: Estimation errors, management quality
- **Competitive Risk**: Unanticipated competitor actions
- **Industry-Specific Risk**: Technological and regulatory changes
- **Market Risk**: Changes in GDP, interest rates, inflation

4.4.2 Measures of Risk

- Range
- Standard deviation (most common)
- Coefficient of variance
- Semi-variance

4.5 Capital Expenditure Management

Capital Expenditure involves investment in long-term assets:

4.5.1 Types of Capital Expenditure

- Maintenance of existing operations
- Future growth investments

4.5.2 Planning Capital Expenditure

1. Identify investment opportunities
2. Analyze cost and net benefit
3. Procure capital assets
4. Allocate according to financial sources

4.6 Policies and Practices in Public Enterprises

- Transparent policy and planning using public money
- Different authorities with different expenditure powers
- Decisions based on public tender through government organization
- Best source selection considering price, quality, reliability

4.7 Profit Planning and Programming

4.7.1 Profit Planning Process

1. Examine past performance

2. Forecast future expenses and revenues
3. Consider inflation and statutory payments
4. Analyze funding costs
5. Prepare budgets for all functions

4.7.2 Profit Programming

- Designing activities for targeted profit realization
- Selection of best alternatives
- Optimal sequence of activities
- Analysis of past programs as guides

4.8 Cash Flow Management

4.8.1 Components of Cash Flow

- **Initial investment**: Project setup costs
- **Operating cash inflows**: Revenue from operations
- **Terminal cash inflow**: Final project value

4.8.2 Cash Flow Statement Preparation

1. Comparative balance sheets (beginning and end)
2. Current period profit and loss account
3. Additional data on cash transactions
4. Three-stage preparation:
   (a) Net profit before taxation
   (b) Cash flows from operating, investing, financing
   (c) Final cash flow statement

4.9 Control Systems

4.9.1 Project Control

- Process for monitoring and managing progress
- Monitoring activities according to plan
- Measurement of performance
- Comparison with standards
- Identification and correction of errors

4.9.2 Communication in Business

- Sharing information for commercial benefit
- Two-way process (upward and downward)
- Various forms: verbal, written, electronic
- Proper transfer to right persons

4.10 Total Quality Management

4.10.1 Concepts of TQM

1. **Intense focus on customer**: Includes both external and internal customers
2. **Concern for continual improvement**: Never satisfied with current quality
3. **Process-focused**: Improve quality of all work processes
4. **Accurate measurement**: Statistical techniques for all critical variables
5. **Empowerment of employees**: Involvement in improvement process

Chapter 5

Entrepreneur and the Law

5.1 Laws Concerning Entrepreneurs

Entrepreneurs must comply with various laws:

1. **Business Registration Laws**:
   - Companies Act, 2013
   - Partnership Act, 1932
   - Limited Liability Partnership Act, 2008
2. **Labor Laws**:
   - Factories Act, 1948
   - Industrial Disputes Act, 1947
   - Workmen Compensation Act, 1923
3. **Taxation Laws**:
   - Income Tax Act, 1961
   - Goods and Services Tax (GST) Act, 2017

5.2 Partnership Laws

5.2.1 Essential Features

- Agreement between two or more persons
- Business carried on by all or any acting for all
- Profit sharing motive
- Unlimited liability of partners
- Mutual agency relationship

5.2.2 Partnership Deed Contents

- Name of firm and nature of business
- Names of partners and their addresses
- Capital investment by each partner
- Profit-sharing ratio
- Duties and powers of partners

- Terms for retirement and dissolution

5.3 Business Ownership Structures

Type	Liability	Key Features
Sole Proprietorship	Unlimited	Single owner, easy formation
Partnership	Unlimited	2-20 partners, mutual agency
Joint Hindu Family	Limited for members	Karta has unlimited liability
Private Limited Company	Limited	2-200 members, separate entity
Public Limited Company	Limited	Minimum 7 members, shares traded
Limited Liability Partnership	Limited	Hybrid structure

5.4 Taxation

5.4.1 Income Tax

- Direct tax on financial income
- Computed as tax rate times taxable income
- Filed annually to determine tax liability or refund

5.4.2 Sales Tax (Now GST)

- Tax on sales of goods and services
- State sales tax and central sales tax
- Now subsumed under GST system

5.4.3 Value Added Tax (VAT)

- Form of consumption tax
- Tax only on value added at each stage
- Avoids cascade effects of sales tax

5.5 Workmen Compensation Act

Employees' Compensation Act, 1923 provides:

5.5.1 Coverage

- All employees including casual workers
- Injuries arising from and during employment
- Occupational diseases coverage

5.5.2 Employer's Responsibilities

- Maintain safe working conditions
- Provide safety equipment
- Report accidents to authorities
- Pay compensation within specified time

5.6 Role of National and State Agencies

5.6.1 National Level Agencies

1. **District Industries Centre (DIC)**:
   - Project report preparation
   - Technical support services
   - Single window clearance
2. **Technical Consultancy Organization (TCO)**:
   - Project formulation and implementation
   - Management consultancy
3. **State Financial Corporations (SFC)**:
   - Loans for setting up, renovation, expansion
4. **Small Industries Service Institute (SISI)**:
   - Design and layout preparation
   - Employee training and technical guidance
5. **National Small Industries Corporation (NSIC)**:
   - Operation training for modern machinery
   - Raw material import assistance
6. **Small Industries Development Organisation (SIDO)**:
   - Production and marketing assistance
   - Quality control consultancy
7. **National Bank for Agriculture and Rural Development (NABARD)**:
   - Capital provision for rural SSIs

5.6.2 Institutional Support Need

1. Finance as "life-blood" for enterprise
2. Minimum infrastructure requirements
3. Government assistance through financial institutions
4. Creation of conducive economic environment